

would take the view that once you have a good strategy with dependable long-term results, you should keep it to yourself and only trade your own money. There are instances where this may be true, in particular with strategies that are not scalable and have to be traded in low volume. For a truly scalable strategy, however, there is no real downside to sharing the spoils and quite a bit to be gained.

For starters, you need a large capital base to trade trend-following futures with sufficient diversification and reasonably low volatility, and even if you master the trading side, you may not have the couple of million pounds required to achieve a high level of diversification with acceptable risk. Pooling your money with that of other people would then make perfect sense. Given that you can charge other people for managing their money along with your own makes the prospect even more appealing, because it gives you an income while you do the same work you might have done yourself anyhow, and apart from your own gains, you participate in your clients' trading gains as well.

If you go the hedge-fund route and accept external money to be pooled with your own and traded like a single account, the overall workload increase is quite minor on a daily basis but your earning potential dramatically goes up. If you choose to manage individual accounts you may get a little higher workload on the admin side but a quicker and cheaper start-up phase and the economic upside is essentially the same. For starters you will have a reasonably stable income from the management fee which allows you to focus on long-term results. This strategy requires patience and if you feel economic pressure to achieve profitable trading each month, this will not work out. There can be long periods of sideways or negative trading and you need to be able to stick it out in those periods. Your incentive should always be towards long-term strong positive returns while keeping drawdowns at acceptable levels. As you get a percentage of the profits created on behalf of external investors, the earning potential in good years vastly exceeds what you could achieve with your own money alone.

If you have US\$100,000 and make a 20% return one year, you just made US\$20,000, which is great for sure. But if you also have US\$1 million of external investor money in the pot and charge a management fee of 1.5% and a performance fee of 15%, you just made another US\$30,000 in performance fee as well as over US\$15,000 in management fee. By doing the same trades on a larger portfolio you make US\$65,000 instead of US\$20,000, and the beauty of managed futures trend following is that it is very scalable